



LIMITED REVIEW REPORT

Review Report to
The Board of Directors of Granules India Limited

We have reviewed the accompanying statement of Unaudited Consolidated Financial Results of Granules India Limited ("the Holding Company") and its subsidiaries and Joint Ventures (collectively referred to as the "the Group") for the quarter ended June 30, 2017 ("the Statement"), being submitted by the Holding Company pursuant to the requirement of Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as modified by Circular No.CIR/CFD/FAC/62/2016 dated July 5, 2016. This Statement is the responsibility of the Holding Company's Management and approved by the Board of Directors, has been prepared in accordance with the recognition and measurement principles laid down in the Indian Accounting Standard 34 "Interim Financial Reporting" ("Ind AS 34"), prescribed under Section 133 of the Companies Act, 2013 read with relevant rules issued thereunder and other accounting principles generally accepted in India. Our responsibility is to issue a report on the Statement based on our review.

We conducted our review of the Statement in accordance with the Standard on *Review Engagements (SRE) 2410, Review of Interim Financial Information Performed by the Independent Auditor of the Entity*, issued by the Institute of Chartered Accountants of India. This standard requires that we plan and perform the review to obtain moderate assurance as to whether the Statement is free of material misstatement. A review is limited primarily to inquiries of Holding Company personnel and analytical procedures applied to financial data and thus provide less assurance than an audit. We have not performed an audit and, accordingly, we do not express an audit opinion.

The Statement includes the results of the following entities:

<u>Sl. No.</u>	<u>Name of the Entity</u>	<u>Relationship</u>
1	Granules USA, Inc.	Wholly owned Subsidiary
2	Granules Pharmaceutical, Inc.	Wholly owned Subsidiary
3	Granules Europe Limited	Wholly owned Subsidiary
4	Granules-Biocrine Pharmaceutical Co. Ltd	Joint Venture
5	Granules Omnicem Private Limited	Joint Venture

We did not review the interim financial information of subsidiaries whose interim financial statements / interim financial information reflect total assets of Rs. 44,274.16 lakhs as at June 30, 2017, total revenues of Rs. 7,926.14 lakhs for the Quarter ended June 30, 2017, and total profit/(loss) after tax of Rs. (147.59) lakhs for the Quarter ended June 30, 2017, as considered in the unaudited consolidated financial results. The unaudited consolidated financial results also includes the Group's share of profit after tax of Rs. 302.42 lakhs for the Quarter ended June 30, 2017, as considered in the unaudited consolidated financial results in respect of two Joint Ventures whose interim financial information have not been reviewed by us. These financial results have been



furnished to us by the Management and our report on the statement, in so far as it relates to the amounts and disclosures included in respect of the above subsidiaries and joint ventures, is based solely on the Management's Statement.

Based on our review conducted as stated above, nothing has come to our attention that causes us to believe that the accompanying Statement of unaudited Consolidated Financial Results, prepared in accordance with the aforesaid Indian Accounting Standards and other accounting principles generally accepted in India, has not disclosed the information required to be disclosed in terms of Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as modified by Circular No.CIR/CFD/FAC/62/2016 dated July 5, 2016, including the manner in which it is to be disclosed, or that it contains any material misstatement.

For KUMAR & GIRI
Chartered Accountants
FRN: 001584S

J. BHADRA KUMAR
Partner
Membership No. 025480.

Place: Hyderabad.
Date: August 14, 2017

Rs in lakhs					
Statement of Consolidated Un-Audited Results for the quarter ended June 30, 2017					
Sl No.	Particulars	Quarter ended			Year ended
		30.06.2017	31.03.2017	30.06.2016	31.03.2017
		Un-Audited	Audited	Un-Audited	Audited
	Revenue from operations (gross)	38,595.94	36,217.36	34,980.04	1,43,525.34
	Other income	37.70	118.04	303.48	992.53
1	Total income	38,633.64	36,335.40	35,283.52	1,44,517.87
2	Expenses				
	(a) Cost of materials consumed	19,225.38	15,672.30	17,584.72	67,996.46
	(b) (Increase)/ Decrease in work in progress and finished goods	(1,228.49)	(54.60)	(123.16)	(33.28)
	(c) Excise duty on sales	722.60	692.02	606.83	2,468.81
	(d) Employee benefits expense	3,904.31	3,620.90	3,390.01	14,018.97
	(e) Other expenses	8,277.47	8,551.09	6,671.56	29,190.58
	(f) Depreciation/ amortisation expense	1,760.23	1,799.95	1,634.29	7,151.27
	(g) Finance costs	820.84	766.13	794.48	3,225.63
	Total expenses	33,482.34	31,047.79	30,558.73	1,24,018.44
3	Profit before exceptional items and tax (1-2)	5,151.30	5,287.61	4,724.79	20,499.43
4	Exceptional items	-	-	-	-
5	Profit before tax (3-4)	5,151.30	5,287.61	4,724.79	20,499.43
6	Tax expense				
	Current tax	1,728.83	1,336.11	1,861.58	6,607.20
	Deferred tax	44.73	323.00	(324.10)	(87.07)
7	Net Profit after Tax (5-6)	3,377.74	3,628.50	3,187.31	13,979.30
8	Share in Profit/(Loss) of Joint Ventures	302.42	938.87	708.70	2,472.61
9	Net Profit for the period (7+8)	3,680.16	4,567.37	3,896.01	16,451.91
	Other Comprehensive income				
	(i) items that will not be reclassified to profit or loss	-	155.79	-	155.79
	(ii) income tax relating to items that will not be reclassified to profit or loss	-	(53.92)	-	(53.92)
	(iii) items that will be reclassified to profit or loss	5.36	(79.05)	100.88	45.05
10	Other Comprehensive income, net of tax	5.36	22.82	100.88	146.92
11	Total Comprehensive income for the period (9+10)	3,685.52	4,590.19	3,996.89	16,598.83
12	Paid-up equity Share Capital (Face Value of Re.1/- per share)	2,288.03	2,287.03	2,169.92	2,287.03
13	Earnings per Share (Face value Re. 1/- each) (not Annualised)				
	(a) Basic (in Rs.)	1.61	2.09	1.80	7.52
	(b) Diluted (in Rs)	1.60	2.08	1.75	7.48

- 1 The above unaudited financial results for the quarter ended June 30, 2017 have been reviewed by the Audit Committee of the Board and approved by the Board of Directors at their meeting held on Aug 14, 2017.
- 2 The Auditors of the Company carried out Limited Review of the financial results for the quarter ended June 30, 2017.
- 3 The subsidiaries and Joint Venture companies considered for the consolidated financial statements as on June 30, 2017 are Granules USA Inc., Granules Pharmaceuticals Inc., Granules Europe Limited (Subsidiaries) and Granules Biocause Pharmaceutical Co., Ltd., and Granules Omnichem Pvt Ltd (50% Joint Venture Companies).
- 4 The company has adopted the option under Ind AS 101 "First-time Adoption of Indian Accounting Standards" and has continued the policy adopted for accounting of exchange differences arising from translation of long term foreign currency monetary items in so far as it relates to acquisition of depreciable assets are adjusted to the cost of the assets pursuant to the Notification No.G.S.R.913(E), dt.29.12.2011 issued by the Ministry of Corporate Affairs, the company has opted to capitalise foreign currency gains and losses on loans utilised for purchase of fixed assets.
- During the quarter; foreign currency gain of Rs.400.04 lakhs (foreign currency loss of Rs.329.84 lakhs for the quarter ended June 30, 2016) was transferred to fixed assets.
- 5 As per regulation 33 of the Listing Regulations, the Company has opted to publish only consolidated financial results. The stand-alone financial results are available for perusal at Company's website viz., www.granulesindia.com and websites of BSE (www.bseindia.com) and NSE (www.nseindia.com).
- 6 The Company operates only in the segment of Pharmaceuticals.
- 7 During the quarter, the Company has allotted 1,00,000 equity shares of Re.1/- each, fully paid up on exercise of options by employees in accordance with the Company's Employee Stock Option Scheme(s).
- 8 The Board of Directors at their meeting held on Aug 14, 2017 has declared first interim dividend of 25 paise per equity share of Re.1/- each.

9 Standalone Results as on June 30, 2017 are as under -

Rs in lakhs				
Particulars	Quarter ended		Year ended	
	30.06.2017	31.03.2017	30.06.2016	31.03.2017
	Un-Audited	Audited	Un-Audited	Audited
Revenue from Operations (Inclusive of Excise Duty)	39,558.42	35,177.08	34,355.93	1,37,416.90
Profit Before Tax	5,289.38	5,484.39	5,195.45	20,680.32
Profit After Tax	3,550.76	3,844.80	3,559.46	14,282.67

10 Previous periods/years figures have been regrouped/reclassified wherever necessary.

for and on behalf of the Board

Krishna Prasad Chigurupati
Chairman and Managing Director

Place : Hyderabad
Date : Aug 14, 2017



LIMITED REVIEW REPORT

Review Report to
The Board of Directors of Granules India Limited

We have reviewed the accompanying Statement of unaudited Standalone Financial Results of Granules India Limited ("the Company") for the quarter ended June 30, 2017 ('the Statement'), being submitted by the Company pursuant to the requirement of Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as modified by Circular No.CIR/CFD/FAC/62/2016 dated July 5, 2016. This Statement is the responsibility of the Company's Management and approved by the Board of Directors, has been prepared in accordance with the recognition and measurement principles laid down in the Indian Accounting Standard 34 "Interim Financial Reporting" ("Ind AS 34"), prescribed under Section 133 of the Companies Act, 2013 read with relevant rules issued thereunder and other accounting principles generally accepted in India. Our responsibility is to issue a report on the Statement based on our review.

We conducted our review of the Statement in accordance with the Standard on *Review Engagements (SRE) 2410, 'Review of Interim Financial Information Performed by the Independent Auditor of the Entity'*, issued by the Institute of Chartered Accountants of India. This standard requires that we plan and perform the review to obtain moderate assurance as to whether the Statement is free of material misstatement. A review is limited primarily to inquiries of Company personnel and analytical procedures applied to financial data and thus provide less assurance than an audit. We have not performed an audit and, accordingly, we do not express an audit opinion.

Based on our review conducted as stated above, nothing has come to our attention that causes us to believe that the accompanying Statement of unaudited Standalone Financial Results, prepared in accordance with the aforesaid Indian Accounting Standards and other accounting principles generally accepted in India, has not disclosed the information required to be disclosed in terms of Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as modified by Circular No. CIR/CFD/FAC/62/2016 dated July 5, 2016, including the manner in which it is to be disclosed, or that it contains any material misstatement.

For KUMAR & GIRI
Chartered Accountants
FRN: 0015845

J. BHADRA KUMAR
Partner
Membership No. 025480.

Place: Hyderabad.
Date: August 14, 2017

Rs in lakhs

Statement of Standalone Un-Audited Results for the quarter ended June 30, 2017

SI No.	Particulars	Quarter ended		Year ended	
		30.06.2017	31.03.2017	30.06.2016	31.03.2017
		Un-Audited	Audited	Un-Audited	Audited
	Revenue from operations (gross)	39,558.42	35,177.08	34,355.93	1,37,416.90
	Other income	300.09	256.02	524.32	1,452.02
1	Total income	39,858.51	35,433.10	34,880.25	1,38,868.92
2	Expenses				
	(a) Cost of materials consumed	19,030.02	15,934.95	17,186.80	67,077.83
	(b) (Increase)/Decrease in work in progress and finished goods	1,241.98	(291.34)	298.89	(1,220.03)
	(c) Excise duty on sales	722.60	692.02	606.83	2,468.81
	(d) Employee benefits expense	3,430.09	3,222.50	3,033.03	12,581.00
	(e) Other expenses	7,573.80	7,830.52	6,131.28	26,929.42
	(f) Depreciation/amortisation expense	1,752.41	1,795.65	1,630.53	7,135.16
	(g) Finance costs	818.23	764.41	797.44	3,216.41
	Total expenses	34,569.13	29,948.71	29,684.80	1,18,188.60
3	Profit before exceptional items and tax (1-2)	5,289.38	5,484.39	5,195.45	20,680.32
4	Exceptional items	-	-	-	-
5	Profit before tax (3-4)	5,289.38	5,484.39	5,195.45	20,680.32
6	Tax expense				
	Current tax	1,680.44	1,295.61	1,769.06	6,362.95
	Deferred tax	58.18	343.98	(133.07)	34.70
7	Net Profit after Tax (5-6)	3,550.76	3,844.80	3,559.46	14,282.67
	Other Comprehensive income				
	(i) items that will not be reclassified to profit or loss	-	155.79	-	155.79
	(ii) income tax relating to items that will not be reclassified to profit or loss	-	(53.92)	-	(53.92)
8	Other Comprehensive income, net of tax	-	101.87	-	101.87
9	Total Comprehensive income for the period (7+8)	3,550.76	3,946.67	3,559.46	14,384.54
10	Paid-up equity Share Capital (Face Value of Re.1/- per share)	2,288.03	2,287.03	2,169.92	2,287.03
11	Earnings per Share (Face value Re. 1/- each) (not Annualised)				
	(a) Basic (in Rs.)	1.55	1.76	1.64	6.53
	(b) Diluted (in Rs.)	1.55	1.75	1.60	6.49

1 The above unaudited financial results for the quarter ended June 30, 2017 have been reviewed by the Audit Committee of the Board and approved by the Board of Directors at their meeting held on Aug 14, 2017.

2 The Auditors of the Company carried out Limited Review of the financial results for the quarter ended June 30, 2017.

3 The company has adopted the option under Ind AS 101 "First-time Adoption of Indian Accounting Standards" and has continued the policy adopted for accounting of exchange differences arising from translation of long term foreign currency monetary items in so far as it relates to acquisition of depreciable assets are adjusted to the cost of the assets pursuant to the Notification No.G.S.R.913(E), dt.29.12.2011 issued by the Ministry of Corporate Affairs, the company has opted to capitalise foreign currency gains and losses on loans utilised for purchase of fixed assets.

- During the quarter, foreign currency gain of Rs.400.04 lakhs (foreign currency loss of Rs.329.84 lakhs for the quarter ended June 30, 2016) was transferred to fixed assets.

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5 The Company operates only in the segment of Pharmaceuticals.

6 During the quarter, the Company has allotted 1,00,000 equity shares of Re.1/- each, fully paid up on exercise of options by employees in accordance with the Company's Employee Stock Option Scheme(s).

7 The Board of Directors at their meeting held on Aug 14, 2017 has declared first interim dividend of 25 paise per equity share of Re.1/- each.

8 Previous periods/years figures have been regrouped/reclassified wherever necessary.

for and on behalf of the Board

Hyderabad
 Krishna Prasad Chigurupati
 Chairman and Managing Director

Place : Hyderabad

Date : Aug 14, 2017